

participants.⁸⁷⁵ Further, the implementation of the MDI Rules continues, although on a delayed basis as compared to the adopted implementation schedule. The implementation of odd-lot information on an accelerated schedule will not impede the further implementation of the remaining MDI Rules.⁸⁷⁶

Apart from comments regarding sequencing, certain industry participants expressed concern that adding odd-lot information, including the BOLO, to the exclusive SIPs will increase message traffic and therefore increase costs.⁸⁷⁷ One commenter stated that the proposal would add odd-lot information to exclusive SIP data without disclosing how much the SROs would charge retail investors and broker-dealers for the new data fields.⁸⁷⁸ The commenter, while recommending that the Commission proceed with implementation of the MDI Rules and governance changes, stated that exclusive SIP data fees are “complex and often opaque” and that while SIP data costs are charged to retail customers on a per investor basis, the cost to produce SIP data does not scale on a per investor basis.⁸⁷⁹

While the addition of odd-lot quotation information to the exclusive SIPs will increase the number of messages that the exclusive SIPs will have to collect and consolidate and the number of messages that will be made available to market participants, the exclusive SIPs and market participants can handle such increased message traffic. As discussed in the Proposing Release, the systems used by exchanges and other market participants can handle many levels of

⁸⁷⁵ As discussed below, the Commission is adopting an accelerated implementation schedule for the odd-lot information definition that is modified from the proposal in order to provide a longer period of time for market participants to update and modify their systems. See infra section VI.C.

⁸⁷⁶ See infra section V.E.

⁸⁷⁷ See, e.g., FIF Letter at 13; FIA PTG Letter II at 5; Fidelity Letter at 17; FISD Letter at 3.

⁸⁷⁸ See Fidelity Letter at 17.

⁸⁷⁹ See id.

data messages at extreme low latency and should be able to adjust to the addition of odd-lot quotation information.⁸⁸⁰ Further, the exclusive SIPs have been discussing the addition of odd-lot quotation information to SIP data for several years⁸⁸¹ and should be able to make the necessary adjustments to their processors in the adopted timeframe.⁸⁸² To the extent that increased message traffic increases costs for the exclusive SIPs, the Commission estimated those costs in the Proposing Release, which are discussed below.⁸⁸³

The Commission discussed the potential for new fees related to consolidated market data, which includes odd-lot information, in the MDI Adopting Release.⁸⁸⁴ Fees imposed by the exclusive SIPs are subject to the Exchange Act and the rules thereunder. The Commission discussed the statutory standards for any potential fees for consolidated market data, which includes odd-lot information, in the MDI Adopting Release.⁸⁸⁵ Specifically, the statutory standards that apply to fees proposed by the effective market system plan(s) include section 11A(c)(1)(C)-(D) of the Exchange Act and rule 603(a) under Regulation NMS. Proposed fees must be fair and reasonable and not unreasonably discriminatory. As discussed in the MDI Adopting Release, the Commission has historically assessed fees for data, such as the data content underlying consolidated market data of which odd-lot information is a part, using a

⁸⁸⁰ See Proposing Release, supra note 11, at 80279 (discussing the potential increased system traffic for the proposed minimum pricing increments).

⁸⁸¹ See Proposing Release, supra note 11, at 80297 (discussing a 2019 proposal by the CTA/CQ and UTP Plans to add odd-lot information to the exclusive SIPs).

⁸⁸² See infra section VI.C (revising the compliance timeframe from 90 days as proposed to 18 months from the effective date of the Adopting Release).

⁸⁸³ See infra sections VII.D.5 and VIII; see also Proposing Release, supra note 11, at 80299, 80301.

⁸⁸⁴ See MDI Adopting Release, supra note 10, at 18684.

⁸⁸⁵ See MDI Adopting Release, supra note 10, at 18650, 18684.

reasonably related to cost standard.⁸⁸⁶ To the extent that the exclusive SIPs propose to increase SIP data fees because of the addition of odd-lot information, any such new proposed fees must be filed with the Commission pursuant to rule 608, published for public comment and approved by the Commission before they can take effect.⁸⁸⁷ Further, as discussed in the Proposing Release, expediting the inclusion of odd-lot information to the exclusive SIPs can provide additional competition to the segment of the market that subscribes to proprietary data with odd-lot information for use in visual display settings.⁸⁸⁸

One commenter requested confirmation that exchange proprietary data feeds could be used to provide odd-lot information to the exclusive SIPs consistent with statements in the MDI Adopting Release that odd-lot information could be made available to competing consolidators and self-aggregators (under the decentralized consolidation model) using “existing proprietary data feeds, a combination of proprietary data feeds, or a newly developed consolidated market data feed.”⁸⁸⁹ As previously stated by the Commission, the use of proprietary data feeds for delivering odd-lot information is consistent with the MDI Rules in the context of the decentralized consolidation model.⁸⁹⁰ The use of proprietary data feeds for purposes of providing data to the exclusive SIPs may require consideration by the exclusive SIPs and the Operating

⁸⁸⁶ See MDI Adopting Release, supra note 10, at 18684 n.1158.

⁸⁸⁷ See 17 CFR 242.608(b). See also Rescission of Effective-Upon-Filing Procedure for NMS Plan Fee Amendments and Modified Procedures for Proposed NMS Plans and Plan Amendments, Securities Exchange Act Release No. 89618 (Aug. 19, 2020), 85 FR 65470 (Oct. 15, 2020).

⁸⁸⁸ See Proposing Release, supra note 11, at 80338 (discussing how expediting the inclusion of odd-lot data into the exclusive SIPs would impact competition among data providers).

⁸⁸⁹ MEMX Letter at 7.

⁸⁹⁰ See MDI Adopting Release, supra note 10, at 18653.

Committees of the technical specifications that may be necessary for purposes of collecting and distributing such information to the exclusive SIPs.⁸⁹¹

One commenter stated that “disseminating odd lot quotes on the SIP could lead investors to expect prices that are not available.”⁸⁹² Odd-lot quotation information will reflect actual prices of actual orders that have been submitted by market participants. This information will provide investors with valuable information about the prices at which other market participants are willing to trade. However, as with any change, market participants may have to educate investors as to the existence of odd-lot quotation information on the exclusive SIPs.

2. Proposed Amendment to Odd-Lot Information Definition for Best Odd-Lot Orders

The odd-lot information definition includes (1) odd-lot transactions,⁸⁹³ and (2) odd-lots at a price greater than or equal to the national best bid and less than or equal to the national best offer, aggregated at each price level at each national securities exchange and national securities association.⁸⁹⁴ Accordingly, once implemented, information on odd-lot orders priced better than the NBBO will be included in the NMS information that is made available to market participants within the national market system.

⁸⁹¹ Under rule 603(a), an SRO is prohibited from making its core data available to vendors on a more timely basis than it makes such data available to the exclusive SIPs. In the MDI Adopting Release, the Commission stated that rule 603(a) prohibits an SRO from making its NMS information available to any person on a more timely basis (*i.e.*, by any time increment that could be measured by the SRO) than it makes such data available to the exclusive SIPs. *See* MDI Adopting Release, *supra* note 10, at 18656.

⁸⁹² *See* Schwab Letter II at 36.

⁸⁹³ Odd-lot transaction information is currently collected, consolidated, and disseminated by the exclusive SIPs. *See* Securities Exchange Act Release Nos. 70793 (Oct. 31, 2013), 78 FR 66788 (Nov. 6, 2013) (order approving Amendment No. 30 to the UTP Plan to require odd-lot transactions to be reported to the consolidated tape); 70794 (Oct. 31, 2013), 78 FR 66789 (Nov. 6, 2013) (order approving Eighteenth Substantive Amendment to the Second Restatement of the CTA Plan to require odd-lot transactions to be reported to consolidated tape).

⁸⁹⁴ 17 CFR 242.600(b)(69); MDI Adopting Release, *supra* note 10, at 18613.

The Commission proposed to amend the definition of odd-lot information to include a BOLO as new Rule 600(b)(59)(iii). Specifically, for each NMS stock, the best odd-lot order to buy would mean the highest priced odd-lot order to buy that is priced higher than the national best bid, and the best odd-lot order to sell would mean the lowest priced odd-lot order to sell that is priced lower than the national best offer. Similar to the definition of the NBBO, in the event that two or more national securities exchanges or associations provide odd-lot orders at the same price, the exclusive SIPs, competing consolidators and self-aggregators would be required to determine the best odd-lot order by ranking all such identical odd-lot buy orders or odd-lot sell orders (as the case may be) first by size (giving the highest ranking to the odd-lot buy order or odd-lot sell order associated with the largest size), and then by time (giving the highest ranking to the odd-lot buy order or odd-lot sell order received first in time).⁸⁹⁵

a. General Comments and Response

The Commission received comments supporting the requirement to identify the BOLO from individuals⁸⁹⁶ and market participants.⁸⁹⁷ As stated above, many individual commenters supported publishing odd-lot information, including the BOLO, in the exclusive SIPs in order to further transparency and aid investors in making more informed trading decisions.⁸⁹⁸ Similarly,

⁸⁹⁵ See 17 CFR 242.600(b)(60) (defining NBBO and setting forth the manner in which the NBBO is determined “in the event two or more market centers transmit to the plan processor, a competing consolidator or a self-aggregator identical bids or offers for an NMS security”).

⁸⁹⁶ See, e.g., Comment Letter Type D; Letters from Aron Tastensen (Feb. 23, 2023); Bill Goerger (Mar. 19, 2023); Carson Bruenderman (Mar. 7, 2023).

⁸⁹⁷ See, e.g., IEX Letter I at 6; Cboe, State Street, et al. Letter at 2; ASA Letter at 5; SIFMA Letter II at 4, 32; BlackRock Letter at 12. The Commission also received a comment that said that the Commission should not amend rule 603(c) to require the display of odd-lot information, but did not discuss the costs (or benefits) of such a requirement. See FIF Letter at 13. The Commission is not amending rule 603(c) in this release.

⁸⁹⁸ See, e.g., Comment Letter Type D, I, and K, available at <https://www.sec.gov/comments/s7-30-22/s73022.htm>; see supra notes 866 and 896.

certain other commenters viewed the additional information as a useful measure for all investors and their agents to better evaluate the best prices in NMS stocks and would enhance the ability to trade and route orders effectively as well as facilitate best execution.⁸⁹⁹ Certain market participants that support the publication of the BOLO cautioned against requiring broker-dealers to use the metric as a benchmark against execution quality.⁹⁰⁰ One of the commenters requested guidance regarding whether “market participants would be expected to clear the best odd-lot orders as part of ISO routing, notwithstanding that the odd-lot orders are not protected quotations.”⁹⁰¹ Finally, a number of individual commenters that expressed support for including odd-lot information in the exclusive SIPs urged the Commission to include “odd-lot transactions” in the NBBO, citing the fact that odd-lot transactions are now a majority of the market and most prevalent among retail investors.⁹⁰²

The Commission also received comments opposing the requirement to identify the BOLO, stating the information would create ambiguity or investor confusion.⁹⁰³ Some of these commenters stated that confusion would arise from the fact that a customer would expect to receive the BOLO price even though it is not a protected quote.⁹⁰⁴ One commenter stated that the round lot and odd-lot requirements outlined in the MDI Adopting Release sufficiently provide

⁸⁹⁹ See, e.g., IEX Letter I at 30-31; ICI Letter I at 6; Cboe Letter II at 10; BlackRock Letter at 12.

⁹⁰⁰ See, e.g., ASA Letter at 5; Fidelity Letter at 16; SIFMA Letter II at 4, 32.

⁹⁰¹ SIFMA Letter II at 34, 43.

⁹⁰² See, e.g., Comment Letter Type D, I and K; Letters from Chris Eastvedt (Mar. 6, 2023); M B (Mar. 6, 2023); Prakash Tamang (Mar. 6, 2023); Adam Aiello (Mar. 7, 2023); Shayne Gallagher (Mar. 7, 2023); Aswin Joy (Mar. 7, 2023); Daryll Fogal (Mar. 15, 2023); Bill Goerger (Mar. 19, 2023); Allie Birge (Mar. 31, 2023); Eileen Loh (Mar. 19, 2023).

⁹⁰³ See, e.g., Data Boiler Letter II at 3; JPMorgan Letter at 2, 7.

⁹⁰⁴ See JPMorgan Letter at 7 (stating further if the protected price is lower than the BOLO then “Rule 605 could show misleading negative price improvement while ignoring the order’s size”); Fidelity Letter at 16; SIFMA Letter II at 43.

increased transparency while minimizing confusion.⁹⁰⁵ One commenter stated that the transparency of odd-lot orders may be “gameable” such that a limit order to buy one share could change all execution quality benchmarks for brokers.⁹⁰⁶

As discussed below, the Commission is adopting the amendment to odd-lot information to include a BOLO, as proposed.⁹⁰⁷ While initially market participants may need to explain to their customers about the existence of the BOLO, this new data element is not expected to confuse investors. Investors are already able to see odd-lot transaction information and, upon implementation, the BOLO will provide them with information about the best odd-lot quotations. The BOLO is an informative, useful piece of information for investors to use when considering prices related to NMS stocks. Among other uses, the BOLO may serve as the benchmark execution price for execution quality statistics in rule 605 reports that measure price improvement relative to the best available displayed price.⁹⁰⁸ However, in rule 605 reports, the price improvement statistics relative to the best available displayed price will be a supplement to, rather than a replacement for, price improvement statistics relative to the NBBO.⁹⁰⁹ Further, rule 605 reports present information, including price improvement, in order size categories based on

⁹⁰⁵ JPMorgan Letter at 7.

⁹⁰⁶ Fidelity Letter at 16 (supporting “adding better-priced odd lots to the SIP when this information provides actionable information to the marketplace, such as helping broker-dealers meet their best execution obligations” but urging the Commission to “balance the advantages and disadvantages of odd-lot transparency,” such as the ability to influence execution quality statistics).

⁹⁰⁷ The Commission is adopting this amendment to the definition of odd-lot information in Rule 600(b)(69)(iii). See supra note 860.

⁹⁰⁸ See 17 CFR 242.600(b)(14) (defining best available displayed price) and 17 CFR 242.605(a)(1)(ii)(M) through (Q) (requiring rule 605 statistics relative to the best available displayed price). Entities that prepare rule 605 reports will be required to use the BOLO to compare the best available odd-lot price to the NBBO and determine the best available displayed price. In some cases, the best available displayed price may be the NBBO.

⁹⁰⁹ See Rule 605 Amendments, supra note 10.

notional order size and whether the order is for a fractional share, odd-lot, or round lot.⁹¹⁰ These provisions provide more context for price improvement statistics that consider the best available odd-lot price and thus mitigate concerns about “gaming” execution quality reports. Further, rule 605 reports represent monthly, aggregated execution quality statistics and thereby dilute the effect of an odd-lot price at one specific point in time.

Several commenters stated that odd-lot quotations should be included in the NBBO.⁹¹¹ Odd-lot quotations are currently included in the calculation of the NBBO when they are aggregated into round lots for purposes of providing an exchange’s best bids and offers to the exclusive SIPs.⁹¹² Pursuant to Regulation NMS, bids and offers can only be in round lot sizes,⁹¹³ therefore, the NBBO can only be reflected in round lot sizes. The round lot definition as adopted in the MDI Rules, will categorize certain orders that are currently odd-lots as round lots based on their price, and as a result, quotations and orders that were previously defined as odd-lots will be eligible to establish the NBBO.⁹¹⁴ Orders that remain odd-lots under the new definitions are not bids and offers and therefore do not independently contribute to establishing the NBBO.

The identification of a BOLO will assist investors in assessing the current state of the market for individual NMS securities. The BOLO will reflect the best odd-lot price consolidated across all national securities exchanges and national securities associations and is therefore

⁹¹⁰ See Rule 605 Amendments, supra note 10.

⁹¹¹ See supra note 902.

⁹¹² See, e.g., NYSE Rule 7.36(b)(3); Nasdaq Equity 4, Rule 4756(c)(2); Cboe BZX Rule 11.9(c)(2). See also supra note 732.

⁹¹³ 17 CFR 242.600(b)(16) (defining “bid or offer” to mean “the bid price or the offer price communicated by a member of a national securities exchange or member of a national securities association to any broker or dealer, or to any customer, at which it is willing to buy or sell one or more round lots of an NMS security, as either principal or agent, but shall not include indications of interest.”).

⁹¹⁴ See supra section V.B.1.

consistent with the goals set forth in section 11A of the Exchange Act because it will make information about quotations in NMS stocks available to broker-dealers and investors and will enhance the usefulness of odd-lot information. Although odd-lot liquidity better than the NBBO often resides at multiple price levels and information reflecting all of these odd-lot prices is already included in the definition of odd-lot information, requiring the identification and dissemination of the best of all such inside the NBBO odd-lots on both the buy and sell side will help inform market participants of the best possible prices at which their orders (or their customers' orders) could—in whole or in part—be executed. The identification and dissemination of the price, size, and market of the best odd-lot orders will also enhance the ability of market participants to make effective trading and order routing decisions using NMS information and facilitate best execution. One commenter requested guidance on how to treat odd-lot orders for order routing purposes.⁹¹⁵ The Commission stated in the MDI Adopting Release that odd-lot information may be relevant to a broker-dealer's ability to analyze and achieve best execution.⁹¹⁶ As the Commission stated in the MDI Adopting Release, while odd-lot information, which will now include the BOLO, "may be relevant to broker-dealers' best execution analyses and, in many cases, will facilitate the ability of broker-dealers to achieve best execution for their customer orders, the Commission . . . is not setting forth minimum data elements needed to achieve best execution and does not expect that all market participants will

⁹¹⁵ See supra note 901.

⁹¹⁶ See MDI Adopting Release, supra note 10, at 18605 for a discussion of the implications of expanded consolidated market data on the duty of best execution.

need to purchase the most comprehensive or fastest consolidated market data product available.”⁹¹⁷

D. Display of Round Lots and Odd-Lot Information

Currently, the exclusive SIPs represent quotation sizes in SIP data in terms of number of round lots. For example, for an NMS stock for which a round lot is 100 shares, a bid for 200 shares of that stock would be represented as a bid for “2” in SIP data.

Under the MDI Rules, competing consolidators are required to represent a round lot as the number of shares rounded down to the nearest multiple of a round lot.⁹¹⁸ For example, a 275-share buy order at \$25.00 for a stock with a 100-share round lot would be disseminated as “200.”⁹¹⁹ Accelerated implementation of the round lot definition will require the exclusive SIPs to revise their systems to reflect this change. Therefore, in proposed Rule 603(b)(3), the Commission proposed to require each exclusive SIP to, among other things, represent quotation

⁹¹⁷ Id. at 18605-06. Consolidated market data products will be developed by competing consolidators once the decentralized consolidation model is implemented. See rule 600(b)(25), 17 CFR 242.600(b)(25) (defining consolidated market data product).

⁹¹⁸ Under the MDI Rules, the definition of “core data” requires competing consolidators to represent certain core data elements, including the best bid and best offer, the NBBO, and protected quotations in terms of the number of shares, rounded down to the nearest multiple of a round lot. 17 CFR 242.600(b)(26)(iii). See also 17 CFR 242.600(b)(26) (defining “core data”). The MDI Rules adopted the definition of “core data” in rule 600(b)(21). This provision was subsequently renumbered to rule 600(b)(26) by the Rule 605 Amendments. See Rule 605 Amendments, supra note 10.

⁹¹⁹ See MDI Adopting Release, supra note 10, at 18615. Through the definition of “odd-lot information,” the MDI Rules also require odd-lots priced at or better than the NBBO to be represented in the aggregate at each price level at each national securities exchange or national securities association rather than on an order-by-order basis. 17 CFR 242.600(b)(69)(ii). See also 17 CFR 242.600(b)(26)(i)(H) (including “odd-lot information” as an element of core data). The MDI Adopting Release explained that “[a]ggregating better-priced odd-lots at each price level at each exchange . . . means that better-priced odd-lot orders will be represented in core data in terms of the total number of shares available at each price level at each exchange rather than on an order-by-order basis. For example, if the NBB for XYZ, Inc. is 100 shares at \$25.00, and there are three orders of five shares and two orders of ten shares at \$25.01 on Exchange A, a competing consolidator’s core data product would show 35 shares at \$25.01 on Exchange A.” MDI Adopting Release, supra note 10, at 18613 n.199. Therefore, quotations for odd-lot orders priced better than the NBBO are required to be displayed as the number of shares available in an odd-lot size that are aggregated at the same price.